

THE SHIFT

For some automobile manufacturers, CNG has become the second-largest by sales volume in their portfolio after petrol. At Maruti Suzuki, which phased out diesel vehicles in 2019, the CNG portfolio is the second-largest segment after petrol by sales. The company aims to equalise its diesel market share with CNG and hybrid models even as the company plans to introduce electric vehicles by 2025. Notably, the sales of the company's hybrids have remained lower than those of CNG.

For Tata Motors, the CNG portfolio raced ahead of its EV portfolio in Q1FY25. Its EV penetration remained steady at 12%. However, CNG penetration increased from 16% in FY24 to 22% in Q1FY25. "We expect to continue to build on these as new launches come through. So we're quite happy with the CNG portfolio's performance; it was also good from a profitability perspective," says P.B. Balaji, Group CFO of Tata Motors.

As CNG adoption increases, original equipment manufacturers (OEMs) such as Maruti Suzuki, Tata Motors, and Hyundai are introducing more refined models as the technology improves.

"A lack of availability of the powertrain across popular models had also constrained volumes. OEMs were offering select models, which were largely present in the segment. Over time, the technology has gotten more refined, and OEMs have proceeded to launch more CNG variants," notes ICRA's Gupta.

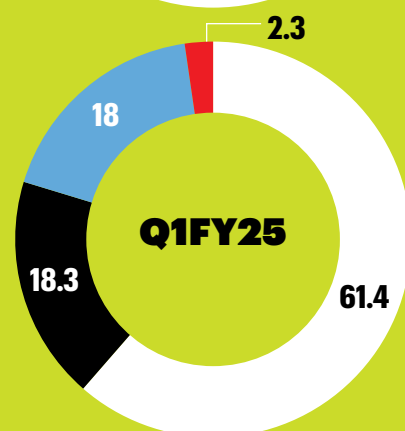
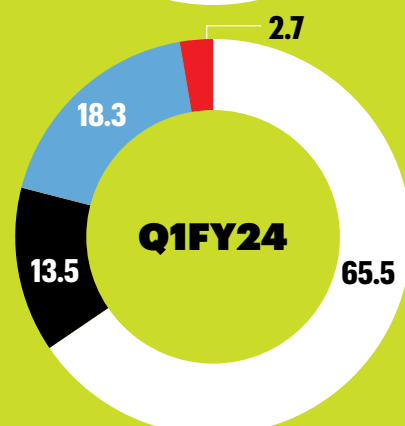
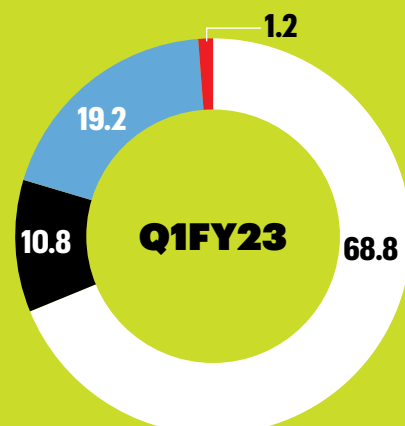
For example, Maruti Suzuki forayed into the CNG segment with single-cylinder technology. Going ahead, the automobile manufacturer is working on an integrated design. R.C. Bhargava, Maruti Suzuki's Chairman, says, "We were the first to start the production of CNG cars because they were more economical than petrol cars as well as environmentally cleaner. They suited users with limited incomes and also met environmental objectives. With the government giving high priority to building infrastructure for CNG distribution, the sale of CNG cars has been rising, and we expect to sell about 600,000 such cars this year."

He believes that customers should be encouraged to buy cars that use strong hybrid technology, or CNG or ethanol and biogas, while the use of electric cars increases, and pure petrol and diesel car use should be minimised. "CNG cars are not as clean as hybrids but are better than petrol or diesel cars and also do not use oil," he says. Maruti is the leader in the segment by quite a distance. In FY24, it accounted for a whopping 73% or about 173,000 of the 236,000 CNG cars sold, followed at a very distant second by Tata Motors at 15%. Maruti currently has 17 variants in its line-up.

Tata Motors stepped up its CNG game in 2022 by in-

WHAT'S YOUR FUEL?

● The share of CNG cars has risen sharply in the last two years ● In Q1FY25, CNG sales were above diesel



— PETROL — CNG — DIESEL — ELECTRIC

ALL FIGURES ARE FOR INDIA AND IN %
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